Rates Outlook 2027

November 2026

The Good, the Bad and the Ugly



The Good the Bad and the Ugly for Rates in 2027

The spaghetti-western title neatly captures the three big forces shaping long-end rates: the 'good' of AI-driven productivity, the 'bad' of elevated fiscal deficits, and the 'ugly' of renewed inflationary pressure from ongoing wars. By the middle of 2027, however, things should start to look a little less ugly as inflation falls



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The good, the bad and the ugly: AI, fiscal deficits and inflation take centre stage in the 2027 rates outlook

Key calls and themes and 2027

US rates and a triple whammy of obstacles to overcome

In the US, our baseline view centres on the good, the bad and the ugly causing trouble in the coming months, and right through the first quarter of 2027 at least, to prompt a return of the 10yr US Treasury yield to the 5.25%-plus area (vs 4.9% currently). We'd cap the absolute upside at 5.5%, as waiting later in 2027 is a 2%-plus handle for GDP growth and inflation, alongside a stable but not worsening debt dynamic narrative. The fall in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That allows long-dated yields to edge back down, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone, which is still above normal, but rightfully so. We don't call for it, but a decision to materially cut long-end Treasury funding would push in the same direction.

Euro rates have good reason to be nervous

For euro rates, we also expect a bumpy ride at the start of 2027, whereby markets anxiously weigh each inflation reading for signs of second-round effects. If all goes well, we should see a significant repricing of the European Central Bank path, helping the 2yr EUR swap rate down by some 50bp. The 10yr rate will be stickier, however, as a global rise in real rates adds upward pressure to longer euro rates. If inflation does not ease as hoped, then we could see a stretch higher in rates from here. In such a scenario, the 10yr swap rate could push well above 4%.

European bond spreads in a duel with the "bad"

Fiscal strains and election risk are putting eurozone bonds to the test. France is the key fault line, while Bunds' safe-haven appeal masks mounting supply pressures. We see a turbulent first half of 2027, and any relief hinges on a credible path to French fiscal consolidation

A delayed landing for GBP rates

Sterling rates are well above levels we consider fair value, but trauma from turning too dovish too quickly is still on investors' minds. Only once the Bank of England can prove its ability to bring inflation closer to target (by the end of 2027) do we pencil in a significant repricing lower for GBP rates. Relatively high sensitivity to US rates means we don't expect the path lower to be a smooth one. And with gilt markets increasingly reliant on risk-sensitive investors, we think a material term risk premium remains justified.

The grand Dutch pension reforms finale

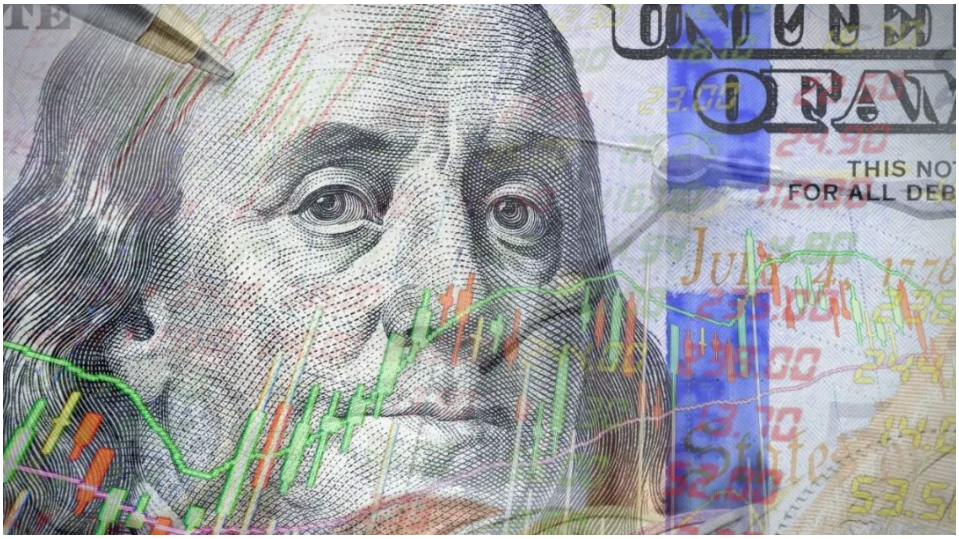
Dutch pension reforms are reaching their finale as almost €900bn of assets are scheduled to transition in January 2027. The reforms should keep the 10s30s euro swap curve structurally steeper, but macro will continue to be the main driver of the curve for now. Under the new system, we expect more swap flows throughout the year as the need for interest rate hedges moves in tandem with asset prices (i.e. equities).

US rates and a triple whammy of obstacles to overcome

The good (AI), the bad (deficits) and the ugly (inflation) extend well beyond the US, with similar dynamics at play in France, Japan and the UK. While our focus here is the US, many of the same themes apply elsewhere. We think it will prove tough to shake off these impulses through the end of 2026 and into the first quarter of 2027



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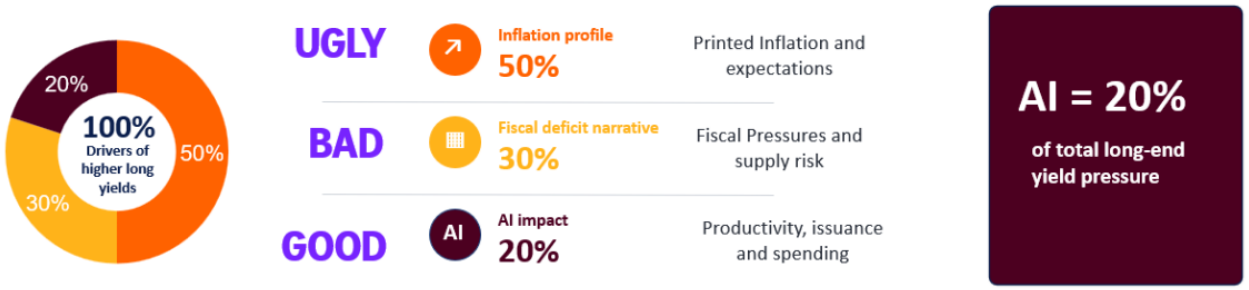


We see the US 10yr yield at about 5.25% in the first part of 2027 and possibly 5.50% before falling to 4.50-4.75% later in the year as inflation is expected to drop

We expect the 10yr Treasury yield to remain under upward pressure into the first quarter of 2027. AI-driven productivity growth, elevated fiscal deficits and sticky inflation are capable of pushing it back towards 5.25%, and potentially as high as 5.5%. A material constraining factor would be the US Treasury cutting long-end funding; see more on that scenario here.

Looking beyond the first quarter, we identify a key shift in inflation dynamics as a dominant factor. Specifically, the direction should reverse later in 2027 as inflation eases and the market starts to re-discount Federal Reserve rate cuts, ultimately taking the 10yr towards the 4.5-4.75% area. But we should not jump to that too early, especially with upward pressure on inflation still very much in focus as we head into 2027.

The drivers of long tenor rates



Source: Macrobond, ING estimates

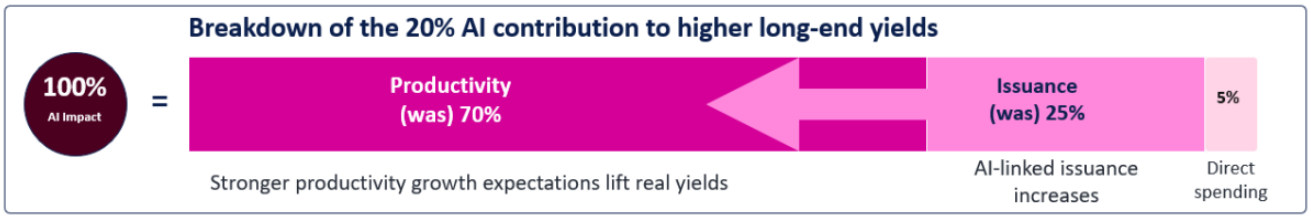
Let's break this out, starting with the 'good' (not all rate increases are for sinister reasons).

The good – AI-sparked productivity growth (and issuance)

We link the AI angle with productivity growth. We continue to view this as highly impactful for market rates, although not as much as the combination of inflation and the fiscal deficit. But we think productivity growth has been a significant driver of the previous elevation in real yields, and for 2027 it remains very impactful.

The nuance for 2027 is that we run the risk that AI-related issuance pressure begins to eclipse AI-driven productivity growth. We had significant issuance throughout 2026. It was novel at first, and mostly well absorbed. But as the stock of outstanding debt increases further, its crowding-out effect becomes more structurally impactful.

The AI impact is still about a fifth, but issuance impact is on the rise

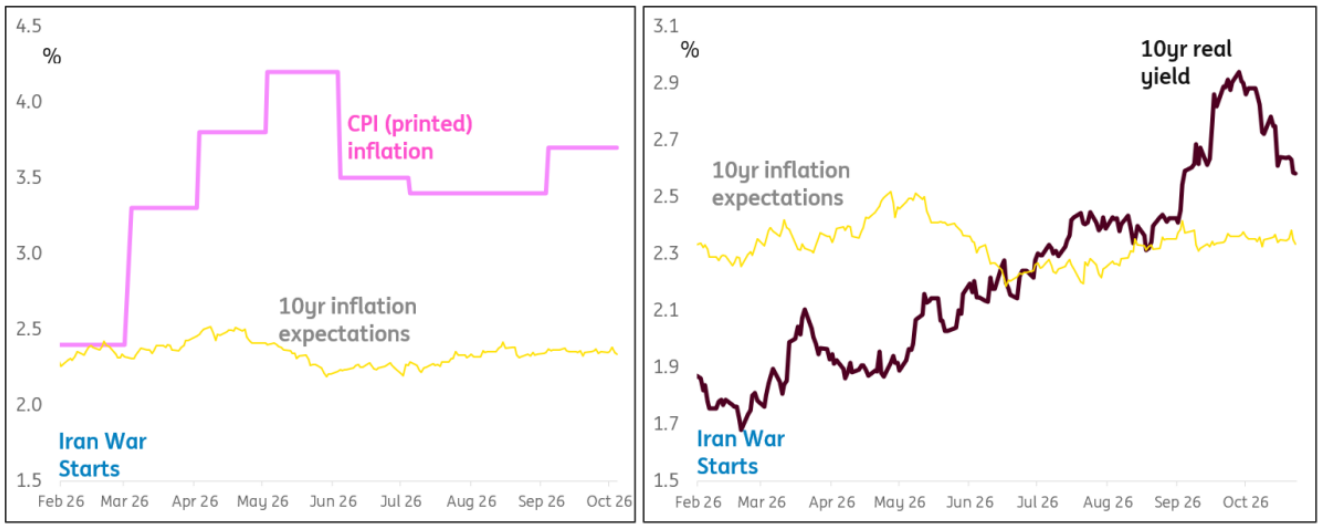


Source: Macrobond, ING estimates

The real yield is very important as a key driver of nominal yields. Inflation expectations, as measured by the 10yr Treasury yield minus the 10yr real yield on inflation-protected securities, do not typically engage in big directional swings. It's the real yield that does that. Productivity growth has always been a contributing factor. But of late, the AI revolution has added an impulse.

We're also of the opinion that higher printed inflation shows up partly in the real yield in the guise of an added term premium. On top of that, the fiscal deficit has a similar effect, through its influence on the supply of Treasuries. It also affects demand for Treasuries through the prism of investors' perception of the Treasury product and the price they are willing to pay for it.

Printed inflation vs 10yr inflation expectations and real yield



Source: Macrobond, ING estimates

There is a lot going on here, but the bottom line is that where the real yield goes, the nominal Treasury yield goes. And for 2027, a combination of productivity growth, deficit pressure and a stretch in the term premium continues to place upward pressure on the real yield.

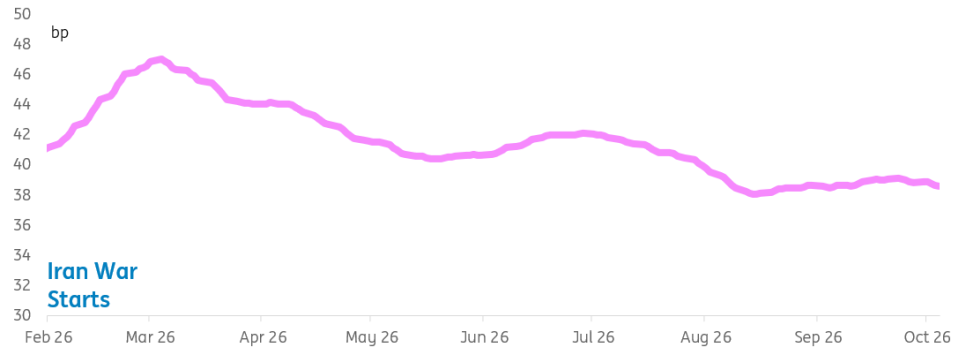
The bad – elevated fiscal deficit(s)

Fiscal deficits are not going to magically solve themselves in the coming months. So, the year ahead will remain a year of concern for debt dynamics. There is quite a degree of gradualism in play, which mutes reactions. But as we saw with Greece a decade and a half ago, the market can quickly jump to a state where debt dynamics suddenly become unpalatable, long before we actually hit a tipping point. Policy stasis is a real problem here, as it leaves a vacuum for bond markets to dip into whenever deemed appropriate.

For this reason, the tame evolution of US swap spreads is worth commenting on. In part, it reflects Treasury Secretary Bessent's increase in long-end buybacks, with the implied threat of more. Moreover, it's been bolstered by fast-money players taking advantage of an implied cap on swap spreads, through longs in Treasuries and payers in swaps. The upshot has been a further tightening in US swap spreads.

US 10yr Swap Spread

10yr Treasury yield minus 10yr SOFR rate



Source: Macrobond, ING estimates

Barring an aggressive Treasury decision to cancel some long-end auctions and/or add to buybacks, we'd prefer to fade this move. We think that swap spreads should come under re-widening pressure as a theme through 2027, or at least through the first quarter. We think the 10yr swap spread can revert to the 50bp-plus area for starters (now below 40bp). And the 30yr can move back up to 75bp, at least.

But again, as intimated above, a material reduction in long-end Treasury issuance would provide a pathway to tempering the direct negative effects associated with the fiscal deficit narrative. Our impression is there is no huge urgency to do so, especially given the relative tameness of swap spreads currently. But then again, this is at the whim of the Treasury Secretary in the end.

The ugly – inflation sparked the sell-off (but is also the most likely route for a reversal)

On inflation, we assert that the spark for the sell-off in bonds in February 2026 was the Iran war. The key element is elevated printed inflation. Later in the year, a key swing factor will be our expectation for inflation to fall back to acceptable levels. Once there, markets will sense that central bank rate hikes have concluded. The subsequent path of least resistance will see rate cuts discounted, on the theory that we have peaked and that the landing level is deemed to be above neutrality. This is big, as the current market has not yet discounted a material subsequent rate cut process. Re-pricing one automatically drags longer-dated swap rates lower, at the very least, as these are present valuations of the forward profile for floating rates.

hat all being said, herein also lies the biggest risk case for 2027 – that inflation does not ease enough to comfort central banks, or indeed bond markets. The current market discount appears to have this as an elevated risk factor. We glean this from the implied elevated discount for central bank rates. Longer-tenor market inflation expectations are,

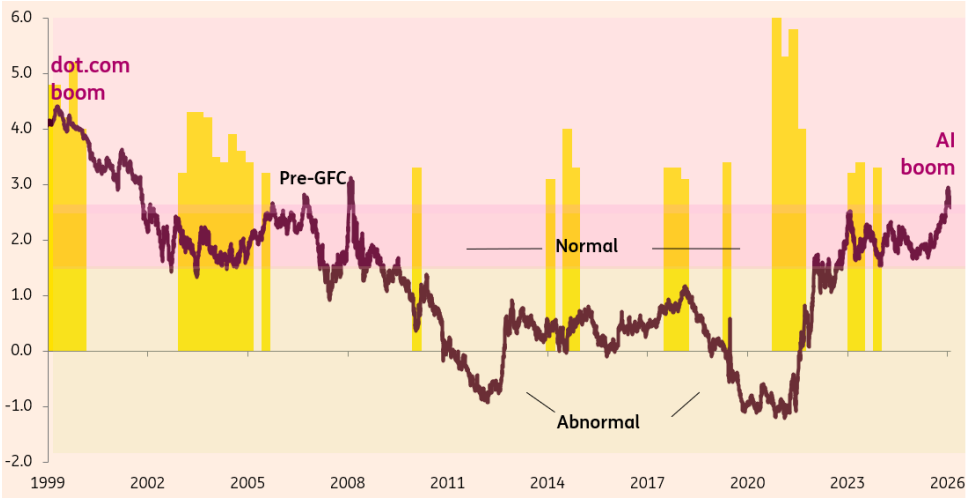
in fact, quite benign. But we suspect that these are not necessarily providing us with a solid steer on inflation risks for 2027 specifically. In this more bearish case, bond markets don't get to a state of relief. That is also why we don't want to play the bond-bullish game too early in 2027.

Are we going to 6% for the 10yr? Probably not, but here is how it could happen (easily)

While we've put the drivers neatly into different buckets, the reality is that they are all acting in unison. We bond nerds will, of course, go heavy on real rates being the dominant driver, which remains technically true to date. But the genesis of higher real rates is no big mystery. There has in large part been a move away from unusually low (to negative) post-pandemic levels to above-normal ones today. And we should be above normal, given that we have elevated inflation, elevated fiscal deficits (and the AI angle).

The US 10yr real yield through the cycles

Will the AI boom echo the dotcom boom with growth and a 4% real yield?



Source: Macrobond, ING estimates

Wondering what's normal for the 10yr nominal yield? See it here – we called this literally years ago.

The question is, should or could long-dated yields push higher from here? The answer is yes, they could. There are three routes.

1) **Route one is GDP growth heading to 3-4%,** akin to what we saw during the dotcom boom. That could coax the 10yr real yield from below 3% currently, up towards 4%. That would mean the 10yr Treasury yield heads to 6%.

2) **Route two is the fiscal deficit getting materially worse.** Remember, it's been in the 6-6.5% range for about three years. Not good, but not getting worse. But what if it shot to the 7-8% zone? We don't call for it. Get there, and again, we find a route to 6%.

3) **Route three is one we've alluded to already: inflation remains sticky in the 3% area and does not get lower**, much to the frustration of the Federal Reserve. Or it gets worse, because of a severe El Niño effect, for example. Again, there is a path to 6%.

We're not calling for any of these. But they are all entirely plausible with uncomfortably high probabilities. Instead, though, our central view is more driven by stability in growth and the deficit and an easing in inflation as we progress through 2027.

Our baseline view targets 5.25-5.5% (and then 4.5-4.75% later in the year)

Our baseline view centres on the good, the bad and the ugly causing enough trouble in the coming months, and right through the first quarter of 2027 at least, to prompt a return to the 5.25%-plus area (vs 4.9% currently). We'd be tempted to cap the upside at 5.5%, given that by 2027 the backdrop is likely to feature GDP growth and inflation both settling into a 2%-plus range, alongside a stable rather than deteriorating debt narrative.

The drop in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That in turn allows long-dated yields to edge lower, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone. This is still above normal, but rightly so.

The one big unknown is what the US Treasury might decide to make ad hoc changes. We assume nothing big. But a decision to materially reduce long-dated issuance sizes would be big, for example. Our baseline view is that such a measure is reserved for a period of market stress or systemic threat, where de facto yield curve control might be an option. Again, not what we expect.

Euro rates have good reason to be nervous

Easing inflation fears should bring euro rates down by mid-2027, but the path lower will be bumpy. We shift our attention from oil to inflation data and expect markets to react anxiously to upside surprises. Rising bond issuance outside the US government and AI could catch markets by surprise, but that is not our base case



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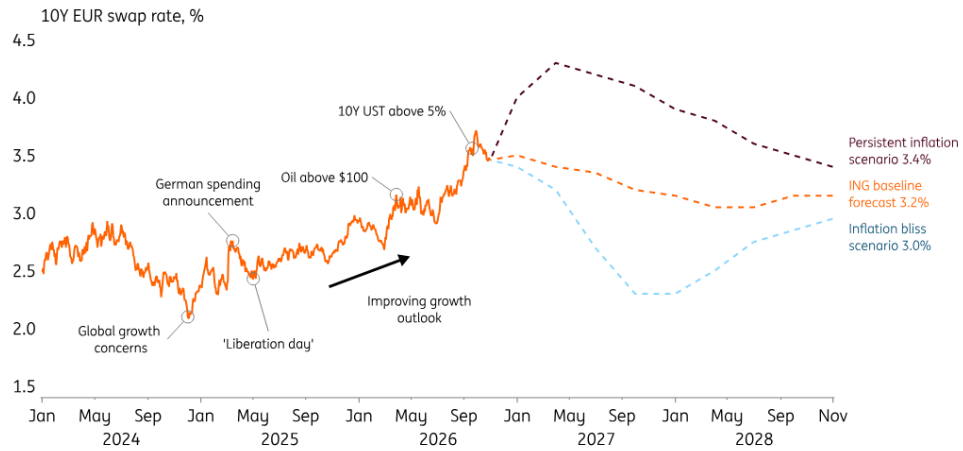


We see substantial near-term upside risk to euro rates but a more constructive year-end outlook

Last year's outlook was all about a stabilisation of euro rates, and boy, were we wrong. For 2027, we have no illusions of a calm ride. Our 2027 euro rates view combines substantial near-term upside risk with a more constructive year-end outlook.

Ugly second-round inflation fears could push the 10-year euro swap rate above 4%, while faster disinflation could take it towards 2%. Our baseline is that inflation pressures ease and the ECB terminal rate anchors near 2.5% by the end of 2027, although heavy global bond supply should keep long-dated rates relatively elevated.

Inflation is one of many uncertainties that can trigger different rate paths



Source: ING, Macrobond

For 2027, we shift our focus from oil to second-round inflation risks

Oil was the big story of 2026, but in 2027 we can no longer rely on the oil price to tell us where rates will go. Even if oil fell below $80/bbl, as assumed in our baseline, swap rates

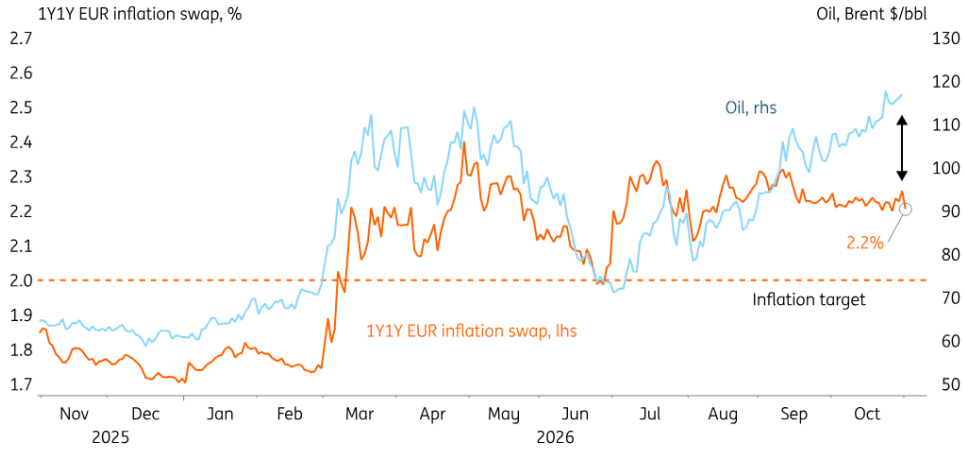
would not find much immediate relief. Instead, markets will watch each inflation reading anxiously for signs of second-round effects.

We take a relatively optimistic view in our baseline, but the upside risks to rates from inflation remain material. One bad reading could be enough to spook markets and risk a repeat of 2022-23, while it would take a series of benign inflation readings to convince markets of a more dovish tilt. We therefore see limited downside to rates in the first half of 2027. Only once there is sufficient evidence that second-round risks are limited do we turn more bullish on rates.

A tail risk for rates would be rising inflation combined with an inability of the ECB to stem the increase. Markets are pricing inflation in two years' time (the 1Y1Y forward) at just 2.2%, suggesting strong confidence in the ECB's ability to return inflation to target quickly. This is consistent with markets pricing in an aggressive further three ECB hikes. However, the effectiveness of monetary policy during supply shocks may be limited. Energy prices are still far from settled, and the global geopolitical landscape remains unstable.

Meanwhile, artificial intelligence investment is unlikely to respond to a few 25bp hikes when earnings growth is measured in double digits. A perceived weakening of monetary policy transmission, combined with upside inflation surprises, could push two-year euro swap rates another 100bp higher.

Markets remain very confident in the ECB's ability to keep inflation close to target

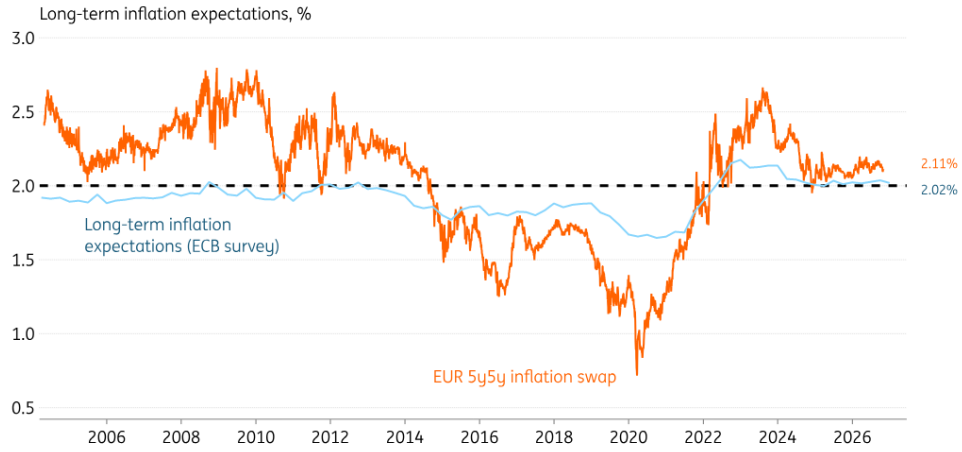


Source: ING, Macrobond

A related risk would be a dovish shift in the ECB reaction function, effectively tolerating higher inflation to support the eurozone economy. The 5yr5yr inflation swaps suggest that markets price very little risk to the ECB's commitment to the 2% target. At just 2.1%, the pricing is still well below the levels from before QE. France could, however, pose a challenge, as higher rates would trigger wider bond spreads, forcing the ECB to keep financial conditions supportive.

Quantitative tightening (QT) might be halted, and the ECB may simply have to accept higher inflation. Such a scenario does not appear to be priced by 5Y5Y inflation swaps. Brace for significantly steeper curves if this risk materialises.

An ECB forced to tolerate higher inflation looks like an unpriced risk

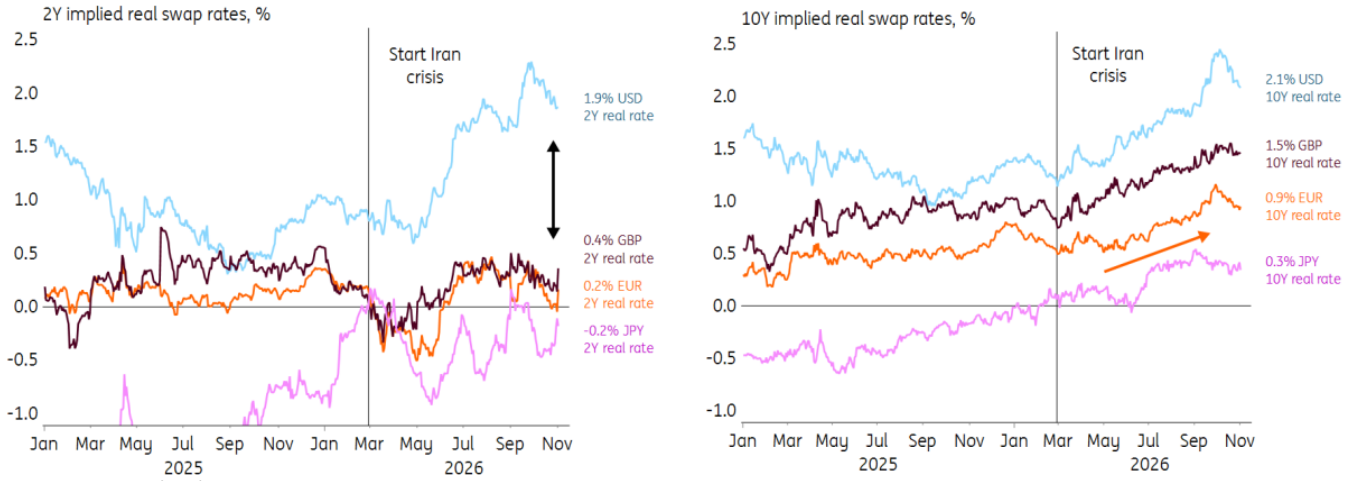


Source: ING, Macrobond

The US is crowding out the rest, pushing euro curves steeper

Longer-dated real rates are not anchored to central bank policy rates and are being pushed higher globally. The US is in the lead here, but the forces at work should be viewed in a global context. Quantitative tightening at all major banks continues to add bond supply that markets must absorb, pushing up longer-dated yields. Meanwhile, government debt is rising, adding to the issuance.

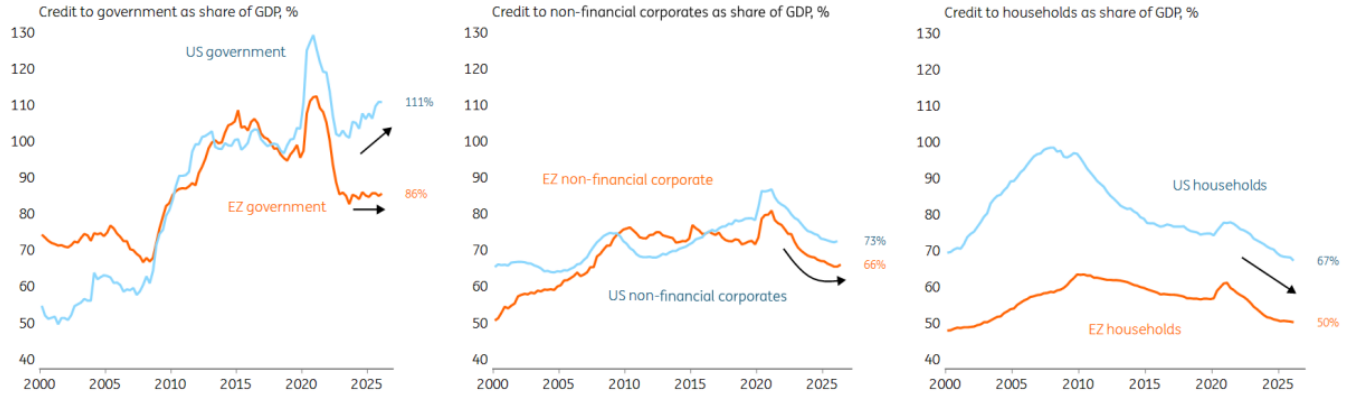
Global forces are pushing longer-dated rates higher, with no end in sight



Source: ING, Macrobond

We do not expect government bond supply trends to change overnight. We therefore think 10yr euro swap rates will remain relatively sticky at elevated levels, despite our baseline view of a move lower in 2yr rates. If the private sector also starts borrowing more, we may face even higher global rates. Corporates and households have been deleveraging since Covid, but the latest data may point to increased borrowing. This is not our baseline, as higher rates should weigh on investment appetite. The wildcard is artificial intelligence, which has driven investment in the US. Outside technology, however, the investment boom is not yet convincing.

US government debt is leading the credit cycle, but keep an eye on corporates

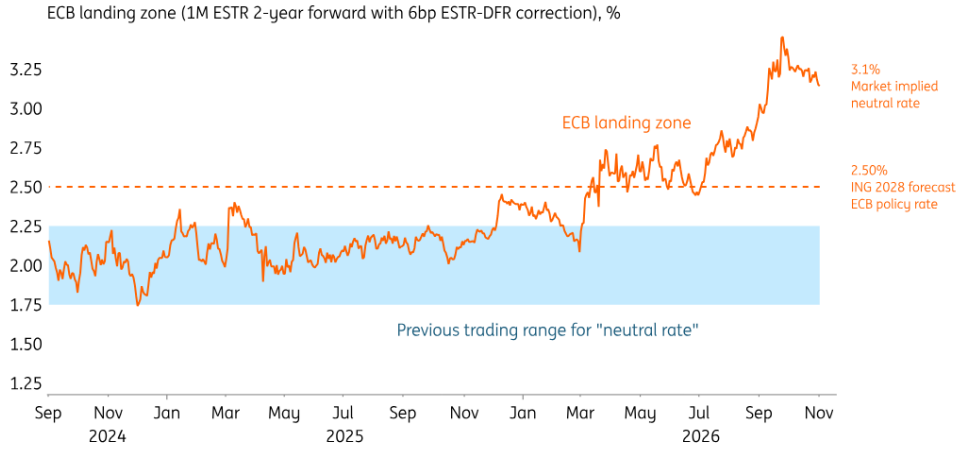


Source: ING, BIS, Macrobond

Fundamentals have not changed enough to warrant an entirely new normality

As economists, we want to see the economy return to a steady state, but such an equilibrium is now hard to pin down. We think markets in 2026 have gone too far in repricing the terminal ECB rate. An ECB rate settling above 3% is difficult to reconcile with the previous 1.75-2.25% range. Growth data have shown resilience, but the eurozone economy's structural challenges remain. Although we still see significant near-term upside risks to rates, we expect rates to begin anchoring around an ECB terminal rate of about 2.5% by the end of 2027.

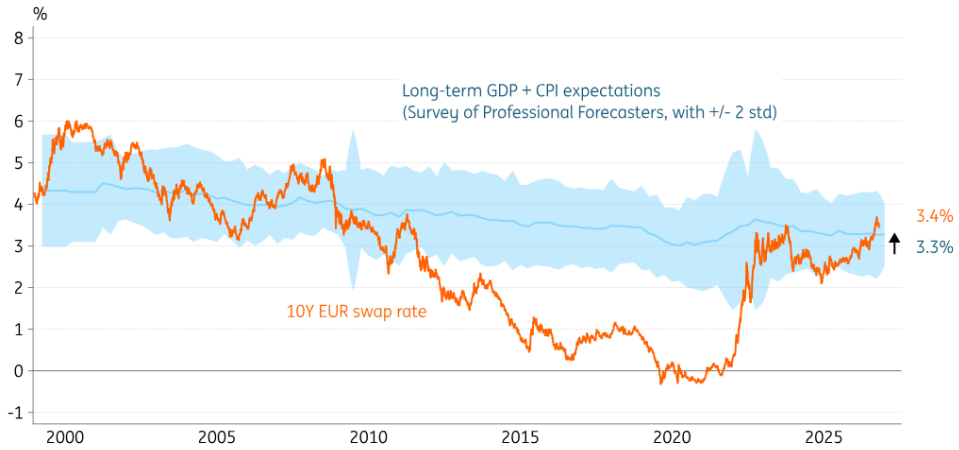
The sharp rise in the terminal ECB rate cannot be justified by macro changes



Source: ING, Macrobond

We do, however, think longer-dated rates are close to their historical fair value, limiting the downside potential for 10yr swap rates. Before the global financial crisis, 10yr rates were anchored around economists' long-term nominal growth expectations. Fiscal austerity and quantitative easing pushed rates away from this equilibrium, but we are now close again to nominal growth expectations of 3.3%. Although artificial intelligence could boost productivity, in our baseline the increase is not material enough to produce a fundamentally different economic outlook.

The 10yr swap rate is close to fair value, limiting downside potential



Source: ING, ECB, Macrobond

European bond spreads in a duel with the 'Bad'

Fiscal strains and election risks are putting eurozone bonds to the test. France is the key fault line, while Bunds' safe-haven appeal masks mounting supply pressures. We see a turbulent first half of 2027, and any relief hinges on a credible path to French fiscal consolidation



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European government bond markets – in a duel with the "Bad"

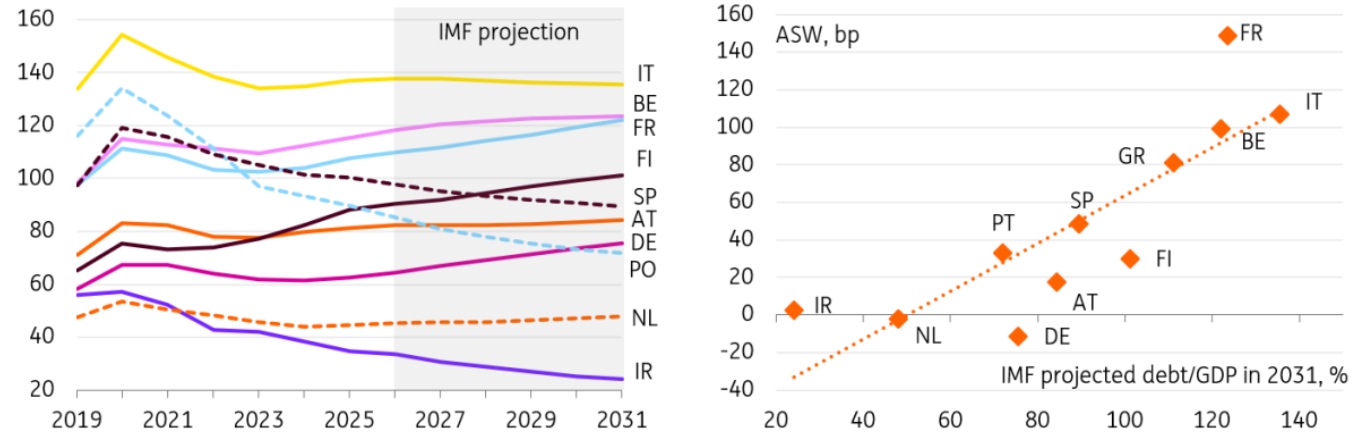
European government bond spreads have returned to the market's focus. Importantly, spread moves are not purely idiosyncratic country stories. They also reflect broader risk sentiment, and higher interest rate volatility generally pushes spreads wider. At the onset of the Middle East turmoil, for instance, we saw sovereign spreads become more closely correlated with energy prices and expectations for European Central Bank rate hikes.

But high deficits – the "Bad"– and existing fiscal imbalances have made some countries more vulnerable than others, and these factors are increasingly shaping the dynamics of sovereign spreads. The "Bad" has re-entered the scene and is once again dominating the narrative in parts of the European government bond market.

While France is already being singled out as a risk factor with the potential to change the broader outlook for European sovereign debt, Europe's busy election calendar suggests that idiosyncratic drivers could become more important overall. Spain goes to the polls later this month, and Italy will have to hold legislative elections before the end of next year. Finland will also hold parliamentary elections, while Germany faces elections in five federal states. And that is just to name the most prominent.

As markets navigate these political and fiscal risks, we expect spreads to remain at wider levels through much of the first half of the year.

Markets have reordered the EMU countries over the years, and have now singled out France



Source: d

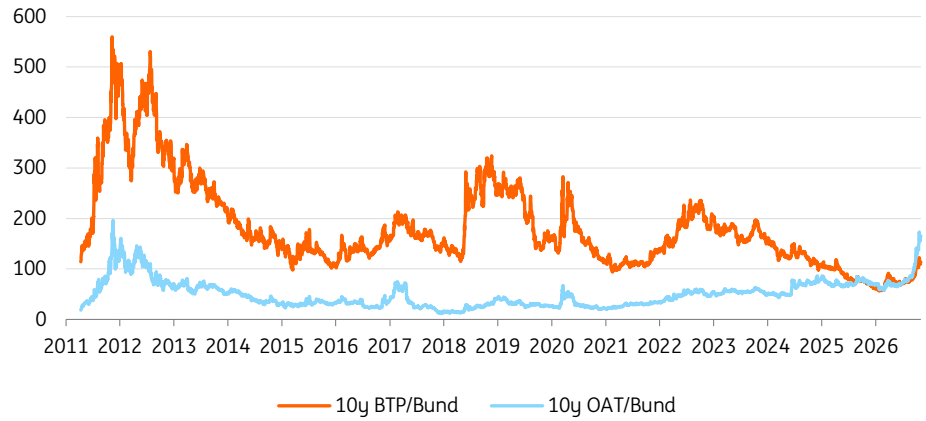
France – Facing the very "Bad", the one that could change it all

Moody's recently affirmed France's last remaining double-A rating but maintained a negative outlook. The underlying assumption is that a 2027 budget containing at least some fiscal consolidation will eventually pass, even if this requires the use of a decree. That would represent a step in the right direction and could offer French government bond spreads some welcome relief going into the new year.

Beyond that, however, a "significant and sustained fiscal effort" will still be required. The outlook is clouded by the 2027 presidential election, with the two voting rounds on 18 April and 2 May. The far-right's Marine Le Pen, the current leading contender, could subsequently call snap legislative elections in the summer in an attempt to break the parliamentary deadlock.

The benign scenario would be one in which Le Pen wins and follows through on her promises of fiscal consolidation. In that case, spreads could return towards levels seen before September, and France could conceivably trade tighter than Italy again. There is, however, still a long way to go before such an outcome can be taken for granted.

If Italy is the yard stick for a proper crisis, there is still room for escalation



Source: Refinitiv, ING

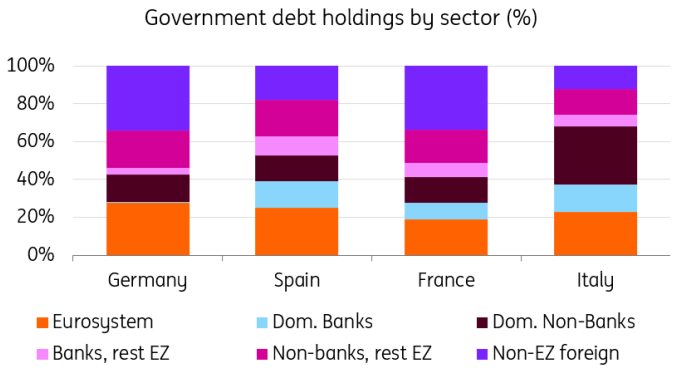
The consolidation plans presented so far by Le Pen appear unrealistic, while the French public does not yet seem prepared to support the scale of adjustment that would ultimately be required. Against that backdrop, the market is likely to continue demanding a sizeable political risk premium. In the absence of positive catalysts, we see a 10-year OAT-Bund spread in the area of 150bp as a floor during the period of electoral uncertainty.

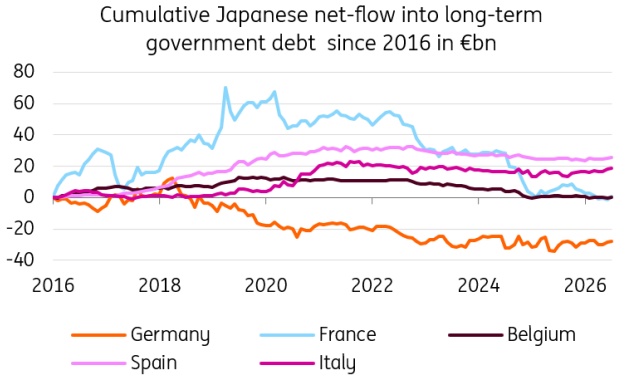
The tail risk is that public discontent instead translates into stronger support for the far left and Jean-Luc Mélenchon, whose proposals have included highly controversial ideas such as cancelling French debt held by the Bank of France. A greater probability being attached to such an outcome could push the 10-year OAT-Bund spread beyond 200bp.

More broadly, the absence of a credible multi-year consolidation plan, combined with the possibility of another hung parliament, would leave the door open to further sovereign rating downgrades, and not just from Moody's. In an unscheduled update, Fitch only recently lowered the outlook of France's A+ rating to negative. Under such circumstances, spreads could remain noticeably above 100bp even once the immediate electoral uncertainty has passed.

That said, we believe current spread levels already extend beyond what fundamentals alone would imply. The market is effectively pricing French debt as though it were already rated BBB. But prolonged and exceptionally high country-specific uncertainty, combined with elevated volatility in broader interest-rate markets, keeps valuations unattractive for many investors. One big risk is that structural foreign investors, which have historically been attracted by France's large, liquid bond market, start abandoning the credit. While data through August do not show any larger shifts, Japanese investors, for instance, have already shown themselves to be sensitive to French election risk in the past.

French has a large foreign investor base which has looked fickle around elections





Source: Bank of Spain, Bank of Japan, ING

The ECB can cap spreads, but does it want to?

In theory, the European Central Bank has both the instruments and the firepower to rein in sovereign spreads. But as long as the turmoil remains largely contained to France, we think the central bank will be inclined to let market mechanisms play out, thereby maintaining pressure on French politics to address the underlying fiscal issues. The ECB has historically been careful to avoid creating the impression of moral hazard.

If needed, the first and least targeted response would be to dial back hawkishness or even halt the tightening cycle. That might appear an easy way to calm markets. But as long as energy prices remain elevated and concerns about second-round inflation effects persist, there is a limit to how far the ECB would be willing to go solely in response to wider sovereign spreads.

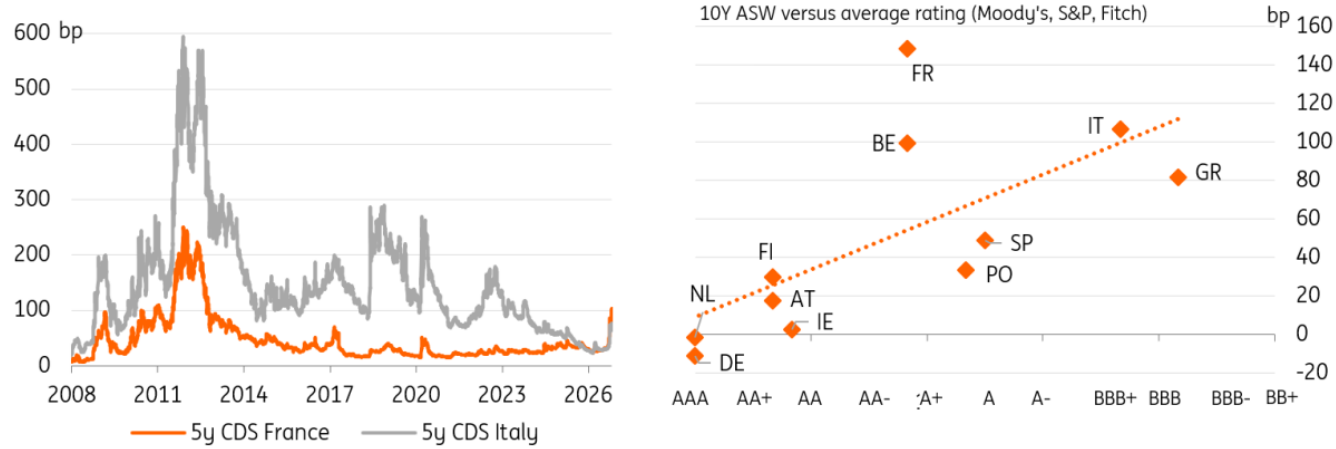
A more targeted option would be to suspend quantitative tightening by resuming reinvestments. The ECB could even frame such a move as part of a broader adjustment of its balance-sheet policy, particularly as excess liquidity in the banking system approaches levels at which demand for central bank refinancing is expected

to become more important. In theory, liquidity operations should take over at that stage. But as long as borrowing from the ECB continues to carry some stigma for banks, ending QT and resuming reinvestments could address two issues at once: easing pressure on sovereign bond markets while also slowing the decline in excess liquidity.

If turmoil were to spread further beyond France and threaten the transmission of monetary policy, the ECB could ultimately deploy its Transmission Protection Instrument. TPI comes with eligibility considerations, including compliance with the EU fiscal framework and debt sustainability, both of which would clearly matter in the case of France, although the ECB retains a degree of discretion in its assessment.

We think the bar for the ECB to actively intervene is high, however. By comparison, when the ECB intervened directly in Italian government bonds under the Securities Markets Programme in 2011, 10-year BTP-Bund spreads had moved beyond 500bp.

French bond spreads are already wider than fundamentals alone would imply



Source: Refinitiv, rating agencies, ING

Germany hides in a temporary safe haven from the "Bad"

Germany sits at the opposite end of the spread spectrum from France. Bunds have reasserted their traditional role as a safe haven during the turmoil in French government bonds. During the geopolitical tensions at the start of the Iran conflict, evidence of such safe-haven demand had been fleeting. This time, the richness of Bunds looks more persistent because the turmoil goes to the heart of some of the monetary union's longstanding vulnerabilities.

Yet the structural forces that had previously driven the cheapening of German government bonds have not disappeared.

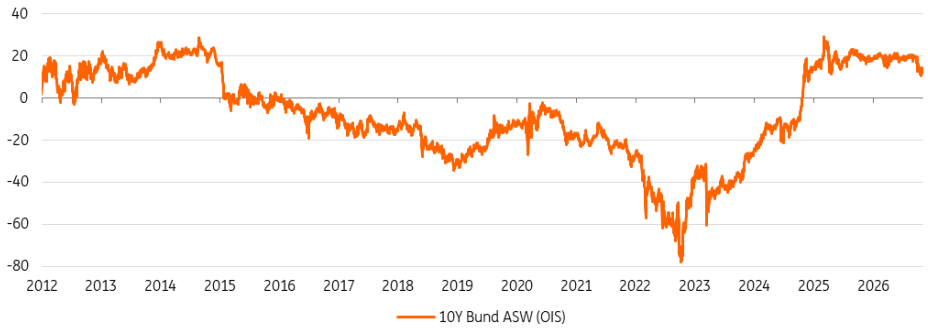
Bond supply is likely to increase again as the government continues to roll out its investment and defence spending agenda. The German Finance Agency's funding head has indicated that gross bond funding could exceed €400bn next year, around €50bn more than this year and making Germany the largest issuer of the union. Higher redemptions mean that the increase in net issuance is likely to be only around half as large. But the market must also absorb the German government bonds running off the ECB's balance sheet. We estimate that this could add at least another €80bn to the amount the private sector needs to absorb over the coming year.

At the same time, political instability threatens the government's reform agenda precisely when Germany needs to reset its economic model. An already fragile

governing coalition will face five state elections, four of them concentrated in April and May and the other in September.

Once the immediate flight-to-quality premium fades, we expect 10-year Bunds to cheapen back to at least 20bp over OIS, from around 13bp currently. Domestic fiscal and political factors could push the spread wider still by the end of the year.

10y Bund safe haven dynamics outweigh structural issues for now



Source: Refinitiv, ING

2027, likely a showdown in two parts

The first half of next year will still be dominated by eurozone political risk. France's 2027 budget might offer temporary but welcome relief at the start of the year, when an important funding window traditionally opens for many issuers beyond the government bond market.

The second half of the year may offer relief from the turmoil, largely contingent on the outcome of the French elections and whether a new president can offer a credible path towards fiscal consolidation. But at that point, Germany, as a core issuer, becomes exposed again to its domestic structural cheapening factors.

A delayed landing for GBP rates

GBP rates seem to have drifted too high versus Bank of England expectations, which we attribute to a significant risk premium stemming from prior trading trauma. We therefore see rates lower across the curve, but only once inflation risks settle and US rates ease lower. Meanwhile, structural supply factors will keep the sterling curve steeper



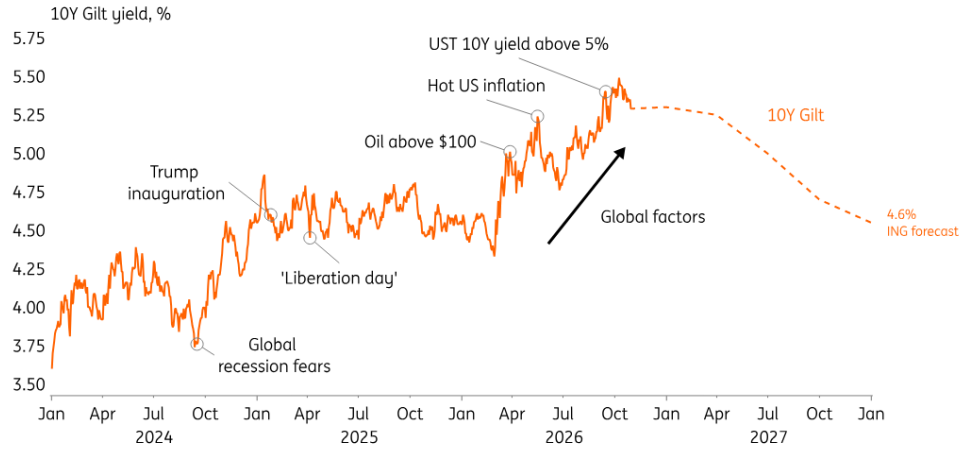
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We see lower sterling rates in 2027, but global factors should keep the risk premium elevated

We expect domestic factors to pull rates lower in 2027, but global factors will continue to push gilt yields around. In our baseline forecast, we see the 10yr gilt yield easing lower as ugly inflation fears abate. The Bank of England could start considering rate cuts instead of more hikes. Looking back at the many global drivers pushing GBP rates around in 2026, we do think that the path lower will be volatile.

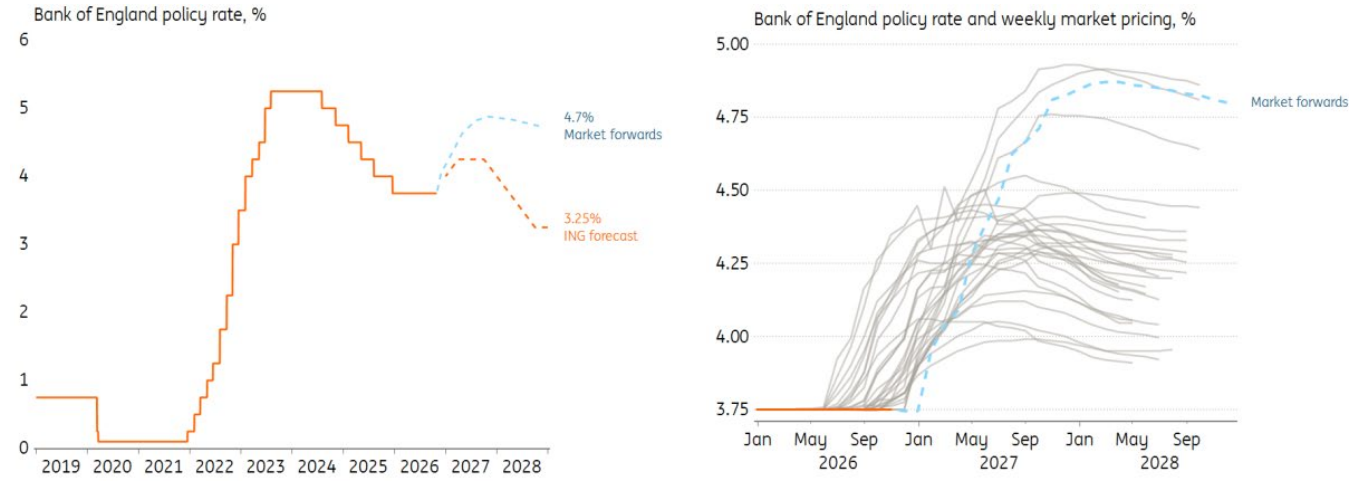
Easing UK inflation should bring rates lower, but global factors add volatility



Source: NG, Macrobond

The Bank of England's policy rate is already starting from a much higher level than those of its peers, which leads us to disagree with the significant amount of additional hiking priced in by markets. Forwards are now suggesting the Bank of England should hike at least 100bp, bringing the terminal rate to around 4.75%, above what markets are pricing for the Fed. The hawkish pricing already happened at the start of the surge in oil prices, but thus far, few rate hikes have materialised.

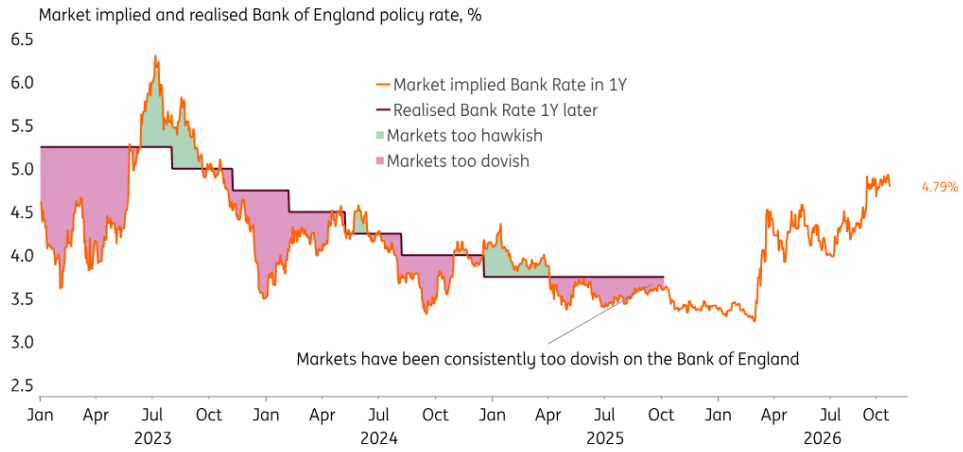
Markets keep overestimating the Bank of England's appetite to hike



Source: ING, Bank of England, Macrobond

The excessively hawkish reaction feels like a trauma from being too dovish over the past few years. When we compare market pricing to actual policy changes, we see that expectations have been almost consistently wrong since 2023. Past inflation was, however, uglier than expected, easing more slowly than hoped. As a consequence, the Bank of England has only been able to cut policy rates very slowly since the easing cycle started in 2023.

Investors have been burnt many times on taking dovish GBP rate positions



Source: ING, Bank of England, Macrobond

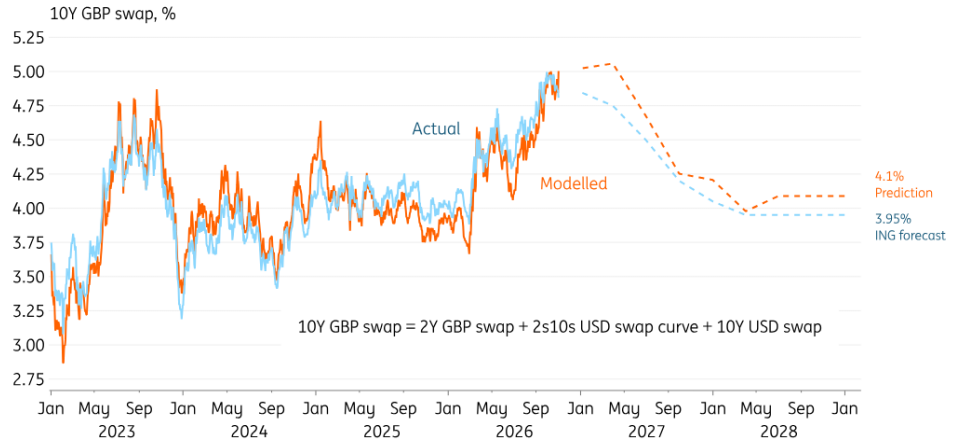
Having been burnt many times over the past year, we think the front end of the GBP curve has built in a risk premium that stretches beyond macro fundamentals. We therefore see 2yr GBP rates easing lower into 1H27 as energy prices should start coming off their highs and inflation doesn't surprise to the upside. But the bigger dovish turn will likely come in the second half as inflation numbers provide greater confidence about returning to the 2% target.

US rates add additional uncertainty to sterling rates

US dynamics cannot be ignored and should eventually also help sterling rates glide lower. The 10yr GBP swap rate can be modelled almost perfectly by Bank of England expectations and the US swap curve. These factors together explain some 98% of rate moves.

Two US ingredients are important: the level of the 10yr rate and the 2s10s slope of the curve. Our baseline forecast sees materially lower 10yr US rates, helping the 10yr gilt move lower in 2027.

Policy expectations and US rates account for 98% of 10Y GBP swap moves



Source: ING, Macrobond

But the US is facing inflation risks and a high deficit, adding uncertainty to the gilt outlook. If US inflation turns out to be more persistent than hoped, we could see the 10yr USD swap rate push toward 6%, spilling over to the sterling market. Similarly, concerns about global government debt and AI issuance can add to the upward pressure on global rates.

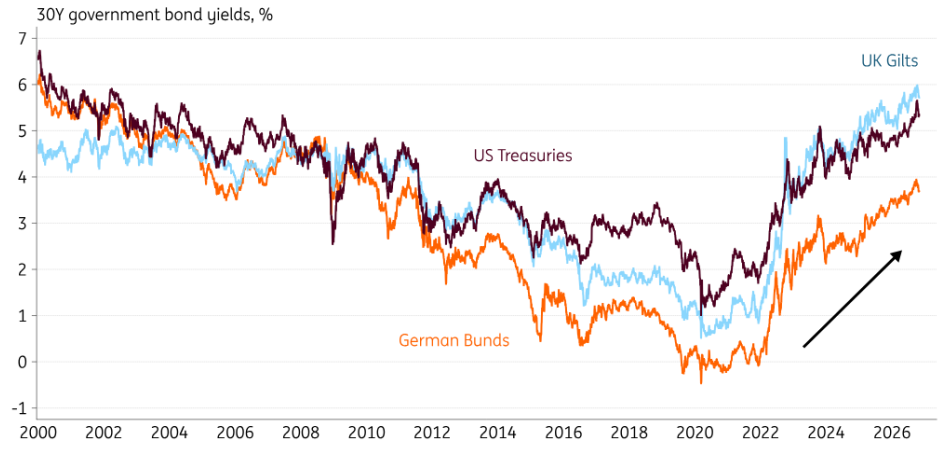
Changes in QT won't stem the upward pressure on rates due to supply

While we think the UK is in a better position than most peers when it comes to "bad" government deficit and debt dynamics, supply pressures will continue to exert upward pressure on gilt yields. Thus far, the Bank of England has more actively reduced its balance sheet, adding to the supply for the private sector to absorb. Earlier this year we estimated that quantitative tightening (QT) added significant steepening pressure to sterling curves – more so than the Bank of England suggests.

The new approach to QT should ease the upward pressures on 30yr gilts, but the broader outlook remains the same. By keeping gilts on the balance sheet with maturities of 23 years or longer, markets no longer have to worry about absorbing that part of the curve. Having said that, the rise in 30yr yields is a global trend and not something on which the UK has a lot of influence.

Meanwhile, shorter maturities will still hit the market, albeit with a detour through the government Debt Management Office (DMO). The DMO could decide to shift gilt issuance to bills, but we doubt such a strategy will be pursued. Add a still-negative budget deficit, and we should see supply pressures persist.

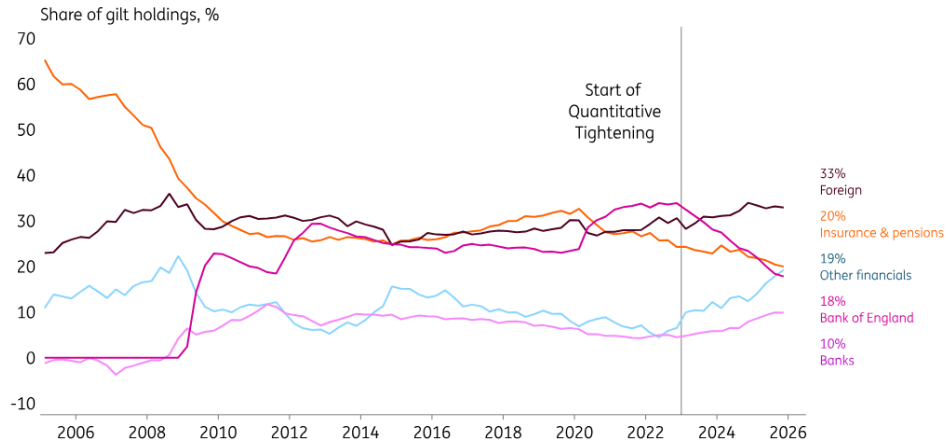
QT tweaks help 30yr gilts, but cannot revert a global trend of increased bond supply



Source: ING, Macrobond

The increased gilt supply is currently absorbed by relatively price-sensitive buyers. This increases upward yield pressure and can come with volatility. Banks are only absorbing part of the increase in supply, while insurance and pension funds are playing a smaller and smaller role, which is especially punitive for longer maturities. Foreign investors and other financials (i.e. asset managers, hedge funds) are picking up the slack. But these types of investors are more relative-value-focused and can be quick to sell if gilts start looking less attractive.

Gilts rely on price-sensitive buyers to pick up the increase in supply



Source: ING, UK Debt Management Office

The grand Dutch pension reforms finale

The biggest wave of Dutch pension reform is still to come, with more than €900bn in assets set to transition in 2027. Yet we expect the immediate market impact to remain limited. Healthy funding ratios should contain large-scale hedge unwinds, while the more lasting consequence will be more frequent swap rebalancing as hedging becomes tied to asset prices



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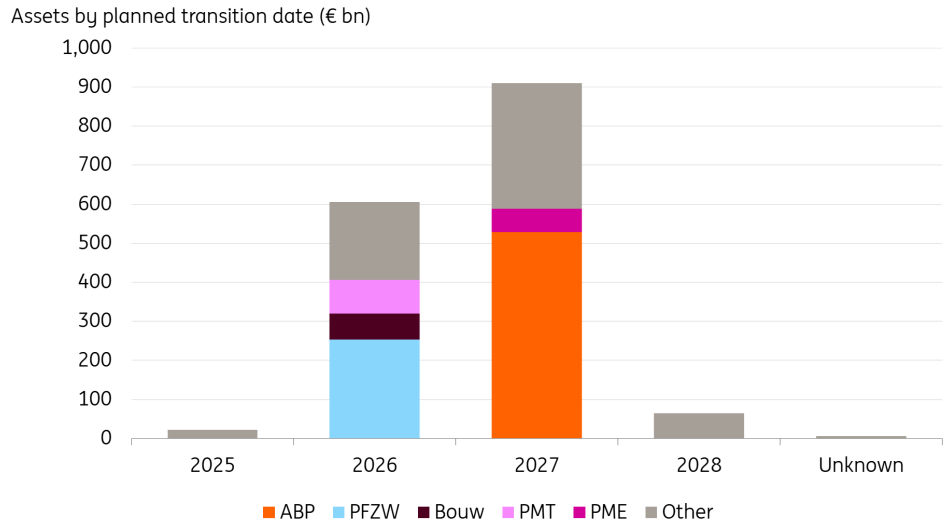


We should see the peak of Dutch pension reforms in January 2027, with the steepening impact for long-dated rates limited by global market conditions

The biggest wave of Dutch pension fund transitions is still ahead of us

Dutch pension funds hold over €1.5tr in assets, and ongoing regulatory reforms are leaving a material mark on global markets. In essence, the reforms move Dutch pensions from a defined benefits framework to a more defined contributions-like setup. Around €600bn of assets have already transitioned in 2026, and for 2027 we brace for another €900bn.

January 2027 marks the last major transition date



Source: ING, De Nederlandsche Bank, PensioenPro

In the new system, interest rate hedges are set by age cohort instead of at the fund level, which reduces the demand for longer-dated fixed income. The exposures of younger participants are only partly hedged. In the case of ABP, the hedge is just 10%.

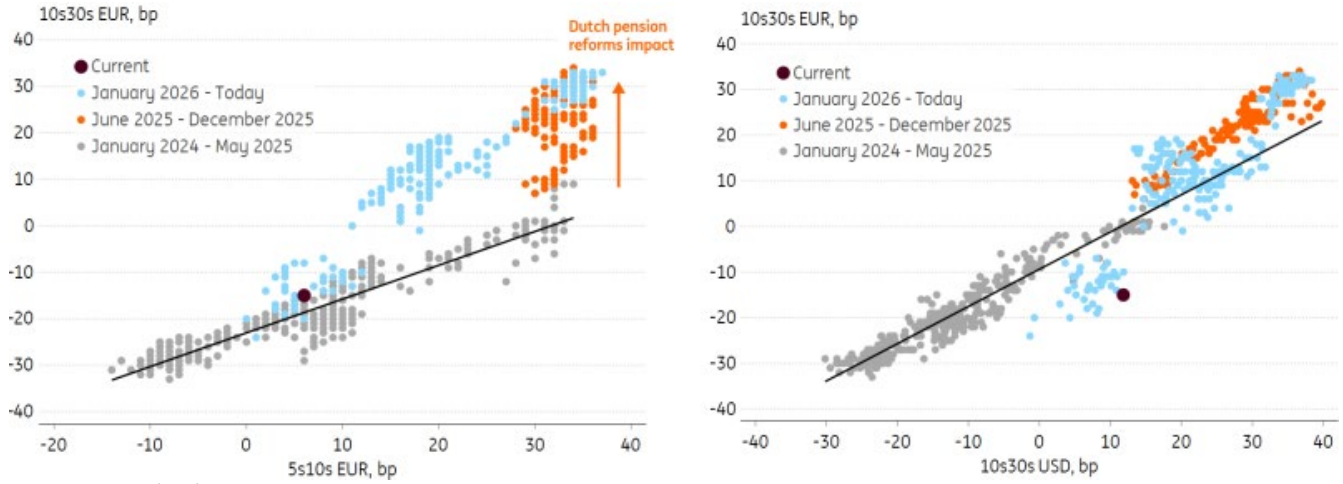
For older participants, this hedging ratio increases to 75%. In effect, this means demand for interest rate hedges at very long maturities, i.e. 25 years and beyond, will be relatively small. Participants in (or close to) retirement will, however, still demand fixed income products, often even more than under the old system. But the maturities for hedging these cash flows are much shorter.

Market impact overruled by macro drivers

A steeper 10s30s curve is the natural consequence of these reforms, but the impact is secondary to the broader macro landscape and will thus need time to materialise. We think the Dutch pension reforms contributed some 20bp to the 10s30s steepening in 2025, but part of this was also linked to speculative flows from other financial players.

In 2026, we have not observed the same steepening pressures, and instead the flattening of the 10s30s curves was mostly driven by a hawkish repricing of the European Central Bank and the Federal Reserve. Structurally, we still see scope for a significant steepening in the 10s30s, as changing demand from Dutch pension funds also plays a role. But for this move to materialise, markets first need to gain more confidence about the inflation outlook, pulling the front end lower.

The flattening of the 10s30s can mostly be attributed by macro drivers



Source: ING, Macrobond

We expect an orderly transition with limited market impact in January, helped by healthy funding ratios. Record-high equity prices and higher swap rates result in funding ratios well above the 105% threshold. ABP's funding ratio is even above 130%. Upon transitioning, asset prices become a direct determinant of hedging needs. In effect, higher equity prices therefore mean less need to unwind interest rate hedges. We also know that many pension funds transitioning in January 2026 had already completed their hedging in the months before, limiting the market impact at the start of the year.

Pension funds will be forced to rebalance hedges more frequently

The shift from liabilities to assets as the basis for hedges also forces more frequent rebalancing. Liabilities under the old system were relatively stable since these were promised payments in the future. Liabilities were only reviewed once a year for inflation indexation purposes. In the new system, the liabilities are a direct function of the fund's total assets, which are volatile by nature and move up and down alongside global financial markets.

When equities rise in value, pension funds will have to increase interest rate hedges to match higher liabilities. In theory, this should trigger large swap flows on a monthly basis to ensure compliance with the set hedging ratios. In practice, however, pension funds are likely to operate with narrow ranges around the hedging targets. While this should avoid sharp flows on every market move, we still anticipate more activity than under the old system.

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